

China Debt Dynamics

ShoreVest Meets with PBOC Governor; Fights Dragons

ShoreVest

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This last week my partners and I had the opportunity to spend many hours in Beijing and Shanghai in dozens of meetings with the most senior regulators, financial system executives, and government officials, discussing the current state of China's debt clean-up. One of our largest LPs asked me to send them a summary of what I learned. So with this CDD, I wanted to summarize my notes from those meetings, in hopes that it will give our investors a unique view into one of the most pivotal turning points in the world's second largest economy. A turning point that began in 2017 as Beijing decided that taking short-term pain was worth working toward the longer-term health of its financial system.

But equally important, last night I got to take our CFO of 16 years, Ada Bi, to see Taylor Swift perform live, because Ada's daughters were off at college in Canada so I filled in as Ada's fellow "Swiftie." From some of Taylor's lyrics (that Ada and I were singing at the top of our lungs), I was reminded something about ShoreVest's culture that got us through this two-decade history. And since company culture is the foundation of what got us here, I'll also add a bit of that at the end of this CDD. (Note: theme song to this CDD is Taylor's "Long Live" in case you wanna press play now).

Meeting with PBOC Governor

The last time we're aware of that the People's Bank of China (PBOC) Governor, Pan Gongsheng, met with an American, was when President Biden sent Janet Yellen last October. So we were quite honored that Governor Pan would accept ShoreVest's request to meet him at the PBOC headquarters last Wednesday. Our dialogue with the head of China's central bank was extremely positive and fruitful. I'll summarize just a few key highlights here:

- Governor Pan said that a firm with ShoreVest's unique capabilities as a debt solution provider would mean we would have "many opportunities, not just now, but also 50 years from now" as China continues to have credit cycles, like any mature major economy.
- The Governor said that the volume of distressed and special situations opportunities is likely to be very high for the near- to mid-term as China continues its transition from a debt-fueled growth model to a healthier and more balanced long-term model.
- The Governor also said that China's regulators strongly encourage and welcome long-term experienced foreign investors like ShoreVest to be part of the country's debt clean-up ecosystem.
- Governor Pan directly asked me if there is anything he can do to be helpful, to assist ShoreVest to "more directly access deal flow" from the banks. He suggested we consider setting up our own nationally licensed asset-management firm (AMC) to buy directly from banks and offered support.

Meetings with top AMC and Bank Execs

Separate from our meeting with the Governor, through our existing relationships, last week we also set up meetings with the most senior executives in charge of NPL resolutions and restructurings at several of China's national state-owned AMCs and commercial banks. The largest banks in the world in terms of Tier-1 equity capital. The common themes were the following:

- The executives expressed a willingness to open up their lists of bad debt assets for ShoreVest to review as potential opportunities. While they would not be willing to take unfairly low pricing, they wanted to help ShoreVest source attractive opportunities in their balance sheets.
- Several of the financial institution executives also expressed desire to co-invest with us.

Meetings with Largest Insurance Cos

We also had meetings last week with some of the most senior portfolio managers and executives at four of China's largest insurance companies. The common themes were the following:

- In their illiquid portfolios, China's insurance companies are seeking to shift from their prior approach of focusing on private equity, to more stable and downside-protected private credit.
- The insurance companies have spent a meaningful amount of time in recent years trying to understand China's credit markets and they believe there are few, if any, options for best-in-class institutional quality NPL investors, other than ShoreVest.
- We were given a clear request by two of China's largest insurance companies to come back with concrete proposals soon on how they might invest with ShoreVest this year (either through an RMB fund or co-investments).

Meeting with NDRC

We also were able to meet with the top transaction-approving officer of the National Development and Reform Commission (NDRC), which has been the regulator that approved all of the NPL deals we have done in our history. He said that the government views experienced distressed debt managers, such as ShoreVest, as a vital piece of helping banks clean up their bad debt.

We also have a meeting scheduled tomorrow with the senior officers at the new super-regulator, the National Administration for Financial Regulation (NFAR), at which we expect a similar message.

Singing with Ada and Taylor

But Governor Pan telling me ShoreVest is going to have opportunities for decades to come was only the second-best moment of this last week.

As background, ShoreVest has a few tag lines that have for many years formed the crux of our company culture. One of those is “百年老店” or “100-year firm.” This serves as a reminder to all of us that we are not the kind of firm that seeks to “make a quick buck,” but are instead a firm that has a long-term view in building a reliable debt solution providing platform. This longer term view involves the longer term labor of building another of our tag lines, which is “信任的基础” or “foundations of trust.”

Each of these tag lines came to mind in my favorite moment of this last week, which was when Ada and I were belting out lyrics at Taylor's show last night. One song really hit me as describing what ShoreVest's decades of history has been like, and what the moment we are in right now is like for us. So with this CDD, I want to memorialize what it was like singing “Long Live” with Ada last night:

*“I said remember this moment
...it was the end of a decade, but the start of an age...
...of all the years that we stood there on the sidelines
Wishing for right now.*

*Long live [100 years], the walls we crashed through [barriers to debt solutions]
How the kingdom [PBOC] lights shined just for me and you
I was screaming, “Long live all the magic we made [no losses]”
And bring on all the pretenders [Western GPs / Chinese shadow bank competitors], I'm not afraid
Long live, all the mountains [mistaken investment perceptions] we moved
I had the time of my life fighting dragons [difficult borrowers] with you
I was screaming “Long live that look on your face [foundations of trust].”*

(Oh also, if you want to see the video clip of me and Ada singing this, it's going to cost you a much bigger fund commitment than you already made. ;)

Sincerely,

Ben

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